

**ANNEX 1: 2025 FINANCIAL STATEMENTS FORMATS BASED ON THE  
LOCAL GOVERNMENT ACT OF 1991 – CAP 281**



**LUSANGAZI TOWN COUNCIL**

**BI-ANNUAL FINANCIAL STATEMENT FOR THE  
PERIOD**

**ENDED 30<sup>th</sup> JUNE 2025**

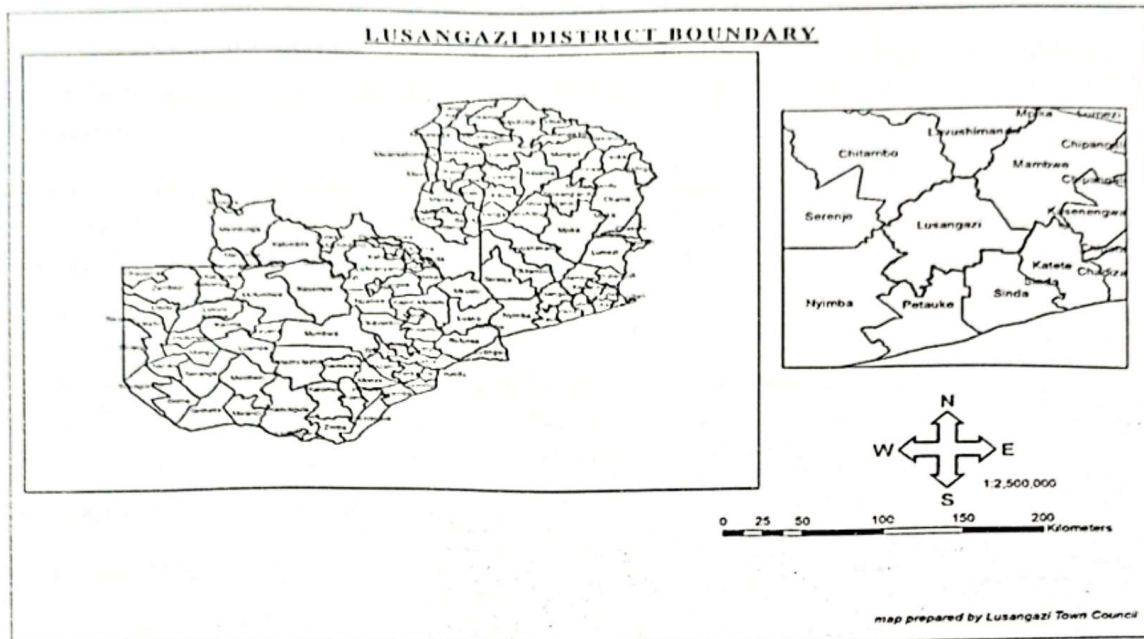
## Report of the Council

The Council has the pleasure of presenting the report together with the financial statements for the year ended 30<sup>th</sup> June, 2025 which disclose the sources, utilization and balances of cash for Lusangazi Town Council during the period under review.

### **Background and Location of the Council**

The Council is located at Village 18 in Masili, Lusangazi District, Eastern Province of Zambia along Ukwimi Road. Lusangazi was declared a district in April, 2018 under Statutory Instrument no. 26 of 2018. The district was created in order for Government to take development closer to the Local people, through the delivery of Services such Schools, Hospitals, provision of water and Sanitation and Other Services. Lusangazi was a constituency under Petauke district, whose name was derived from the Lusangazi River which means meanders through the district. The district was formally known as Ukwimi Refuge Settlement, the refugees came from different Countries namely Angola, Mozambique and Rwanda.

The District is among the fifteen districts in the Eastern Province of Zambia. It is approximately 470 km east of Zambia's capital city - Lusaka. It has a surface area of 5,252 kilometer squares (km<sup>2</sup>) and lies between 13°30' latitude and 14°45' longitude, 31° west and 32° east. The District shares boundaries with Petauke in the south and with Sinda and Mambwe in the north-east, as well as Serenje and Chitambo in the north-west, Nyimba in the Southwest and Lavushimanda in the North. The district has one constituency called Msanzala which has eleven wards namely; Mateyo-Mzeka, Chingolo, Singozi, Lutwazi, Nyakawise, Chikowa, Mawanda, Lusangazi, Ukwimi, Mudonsa and Chisangu respectively. Below is the image showing the district boundary.



### Population

The District has a population of 116,064 (2010 CSO projection) with a growth rate of 2.5%. Lusangazi is a rural district with approximately 98% of the population living in the rural parts of the district while the other 2% live in the urban part that has access to electricity. The average annual population growth rate is 2.5% which is below the provincial annual population rate of 2.6%. Lusangazi has a youthful population with the

### REPORT OF THE COUNCIL

age group between 15-34 years being 30%. The population density is 36.6 persons per square kilometre (Central Statistical Office, 2012).

### Economic Activities

The District being typically rural and the main commercial activity is agriculture which includes Farming and Livestock rearing. However, the district accommodates several Game ranches for small scale tourism activities. There are also several small-scale mining activities within Lusangazi ward which enhances the social economic activities of the local people and non-local people. Livelihood is also supported by small scale trading. The developmental prospects for Lusangazi district include Granite Mining, Gold Panning, Lime Plant, Wind/ Solar energy and Tourism activities.

### Traditional Leadership

Lusangazi has two (2) Chiefdoms namely Sandwe and Nyamphande. Sandwe Chiefdom covers the North-western part of the district and houses the administrative centre at Village 18 in Masili. The Chiefdom is home to the Nsenga Speaking people and has six wards: Lusangazi, Ukwimi, Mawanda, Mudosa, Chikowa, and Chisangu.

The Nyamphande Chiefdom is on the south eastern side of the district and shares the boarders with Petauke, nyimba and Serenje districts. The Chiefdom is home to the Nsenga people, a distinctive dialect of Chinsenga. It consists of the following wards: Mateyo-Mzeka, Chingolo, Singozi, Lutwazi, Nyakawise

The address of the registered office of Lusangazi Town Council (LTC) is as follows:

The Civic Centre

P O Box 560151

Ukwimi Road

**LUSANGAZI**

## **REPORT OF THE COUNCIL**

### **Composition of the Council**

Lusangazi Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and incorporated under Cap 281 of 1991 of the Laws of Zambia. As a Local Authority, the Lusangazi Council administers the Lusangazi District.

From January to December 2022, the Council was composed of an elected chairperson, 11 councillors from eleven (11) wards and Two (2) chiefs as provided for under Article 153 of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The current Council is composed of an elected Chairperson and eleven (11) Councillors from the eleven (11) wards. Number of wards increased from 5 wards to 11 wards after the movement of District boundaries in Nyamphande area, the current Council was elected to office on 21 August 2021 to serve a five-year term up to 2026. The vice chairperson was elected from among the councillors in 2021 for a period of two and half years.

The Councilors who held office during the year 2024 were:

### **Composition of the Council**

| S/N | NAME               | GENDER | POSITION         | WARD           |
|-----|--------------------|--------|------------------|----------------|
| 1   | Blackson Tembo     | Male   | Chairperson      | Not applicable |
| 2   | Anna Njobvu M      | Female | Vice Chairperson | Lutwazi        |
| 3   | Nason Chirwa       | Male   | Councillor       | Chisangu       |
| 4   | John Phiri         | Male   | Councillor       | Ukwimi         |
| 5   | Nkhata G. Salulani | Male   | Councillor       | Mawanda        |
| 6   | Martin Tembo       | Male   | Councillor       | Lusangazi      |
| 7   | Cosmas Mwanza      | Male   | Councillor       | Mateyo Mzeka   |
| 8   | Enos Manda         | Male   | Councillor       | Singonzi       |
| 9   | Stephen T.,K Phiri | Male   | Councillor       | Mdonsa         |
| 10  | Jacob Zulu         | Male   | Councillor       | Chingolo       |
| 11  | Henry Lungu        | Male   | Councillor       | Chikowa        |
| 12  | Geoffrey Daka      | Male   | Councillor       | Nyakawise      |

The district had one (1) elected Member of Parliament, who held Office during the year under review. The district has one constituency namely Msanzala Constituency. The Member of Parliament that held office during the year was:

| Period     | NAME            | GENDER | CONSTITUENCY |
|------------|-----------------|--------|--------------|
| 01/08/2021 | Hon. Elias Daka | Male   | Msanzala     |

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Mike Tembo was the District Commissioner for Lusangazi District.

#### **The Council Secretariat**

The Secretariat of Lusangazi Town Council was headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission. The Council Secretary was assisted by Five (5) Chief Officers responsible for Finance, Planning, Works, Human Resource and Administration and two (2) units namely; Procurement and Internal Audit.

#### **REPORT OF THE COUNCIL**

##### **Functions of the Council**

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No.2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

##### **Financial Results**

|                                                  |                    |
|--------------------------------------------------|--------------------|
|                                                  | 2025               |
|                                                  | <b>KWACHA</b>      |
| Cash Receipts                                    | 27,448,334         |
| Payments                                         | 28,589,671         |
| Increase/(decrease) in Cash and Cash Equivalents | <u>- 1,141,337</u> |

#### **Key Policies Adopted During the Year**

The Council did not adopt any policies during the year:

#### **Related Party Transactions**

There were no related party transactions during the financial year.

#### **Property, Plant and Equipment**

The council spent K 12,839,330 on Property Plant and Equipment. No disposals were done during the period under review.

#### **Intangible Assets**

There were no purchases of intangible assets during the year.

#### **Employees**

The Council had 66 employees at the beginning of the year and has 74 employees as at June 2025. The total amount spent on employees' remuneration and welfare during the year was K 4,578,518.00

#### **Health and Safety of Employees**

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

#### **Recreation**

The Council during the financial year incurred K 67,548.30 towards sponsoring various sporting activities.

#### **Auditors**

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016, the Council is audited by the Auditor-General.

By order of the Council



**Blackson Tembo**

Mayor

18<sup>th</sup> August 2025

# Statement of Cash Receipts and Payments for the Year Ended 30<sup>th</sup> June 2025

|                                    | Note | 2025<br>Kwacha     |
|------------------------------------|------|--------------------|
| <b>RECEIPTS</b>                    |      |                    |
| Local taxes                        | 2    | 5,345              |
| Fees and Charges                   | 3    | 555,646            |
| Licences                           | 4    | 26,860             |
| Levies                             | 5    | 96,462             |
| Permits                            | 6    | 49,150             |
| Local Government Equalisation Fund | 7    | 4,340,340          |
| Constituency Development Fund      | 8    | 10,205,128         |
| Other Grants                       | 9    | -                  |
| Borrowings                         | 10   | -                  |
| Commercial Venture                 | 11   | -                  |
| Sector Grants ( Delvoved Function) | 12   | 12,137,243         |
| Other Receipts                     | 13   | 32,160             |
| <b>TOTAL RECEIPTS</b>              |      | <b>27,448,334</b>  |
| <b>PAYMENTS</b>                    |      |                    |
| Personnel Emoluments               | 14   | 4,578,518          |
| Use of goods and services          | 15   | 10,130,091         |
| Financial Charges                  | 16   | -                  |
| Social benefits                    | 17   | 25,000             |
| Non-financial assets acquisition   | 18   | 7,584,502          |
| Financial Assets                   | 19   | 1,534,260          |
| Loan Repayments                    | 20   | -                  |
| Other payments                     | 21   | 4,737,300          |
| <b>TOTAL PAYMENTS</b>              |      | <b>28,589,671</b>  |
| <b>Increase/(decrease) in Cash</b> |      | <b>(1,141,337)</b> |
| <b>Foreign Exchange Losses</b>     | 22   | -                  |
| Cash at beginning of the year      | 23   | 15,831,864         |
| Cash at the end of the year        | 24   | 14,690,527         |

Name: Blackson Tembo

Signature: [Signature]

Position: Council Chairman

Name: .....

Signature: .....

Position: Director Finance

Name: .....

Signature: .....

Position: Council Secretary

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

# Statement of Cash Receipts and Payments for the Year Ended 30<sup>th</sup> June 2025

|                                      | Note | 2025<br>Kwacha     |
|--------------------------------------|------|--------------------|
| <b>RECEIPTS</b>                      |      |                    |
| Local taxes                          | 2    | 5,345              |
| Fees and Charges                     | 3    | 555,646            |
| Licences                             | 4    | 26,860             |
| Levies                               | 5    | 96,462             |
| Permits                              | 6    | 49,150             |
| Local Government Equalisation Fund   | 7    | 4,340,340          |
| Constituency Development Fund        | 8    | 10,205,128         |
| Other Grants                         | 9    | -                  |
| Borrowings                           | 10   | -                  |
| Commercial Venture                   | 11   | -                  |
| Sector Grants ( Delvoved Function)   | 12   | 12,137,243         |
| Other Receipts                       | 13   | 32,160             |
| <b>TOTAL RECEIPTS</b>                |      | <b>27,448,334</b>  |
| <b>PAYMENTS</b>                      |      |                    |
| Personnel Emoluments                 | 14   | 4,578,518          |
| Use of goods and services            | 15   | 10,130,091         |
| Financial Charges                    | 16   | -                  |
| Social benefits                      | 17   | 25,000             |
| Non-financial assets acquisition     | 18   | 7,584,502          |
| Financial Assets                     | 19   | 1,534,260          |
| Loan Repayments                      | 20   | -                  |
| Other payments                       | 21   | 4,737,300          |
| <b>TOTAL PAYMENTS</b>                |      | <b>28,589,671</b>  |
| <b>Increase/(decrease) in Cash</b>   |      | <b>(1,141,337)</b> |
| <b>Foreign Exchange Losses</b>       | 22   | -                  |
| <b>Cash at beginning of the year</b> | 23   | <b>15,831,864</b>  |
| <b>Cash at the end of the year</b>   | 24   | <b>14,690,527</b>  |

Name: Blackson Tembo

Signature: [Signature]

Position: Council Chairman

Name: .....

Signature: .....

Position: Director Finance

Name: .....

Signature: .....

Position: Council Secretary

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Statement of Cash Receipts and Payments for the Local Government Equalisation Fund (LGEF) for the Period Ended 30<sup>th</sup> June 2025

|                                          |      | 2025<br>Kwacha     |
|------------------------------------------|------|--------------------|
| <b>RECEIPTS</b>                          |      |                    |
| Funding                                  | 7(a) | 4,340,340          |
| <b>TOTAL RECEIPTS</b>                    |      | <u>4,340,340</u>   |
| <b>PAYMENTS</b>                          |      |                    |
| <b>Operational Expenditure Payments:</b> | 7(b) |                    |
| Salaries and Wages                       |      | 4,578,518          |
| Terminal Benefits                        |      | -                  |
| Utility bills                            |      | 26,878             |
| Service Provision                        |      | -                  |
| Goods and Services                       |      | 544,198            |
| Administrative Costs                     |      | 499,698            |
| Other Costs                              |      | 723,629            |
| <b>Sub-Total</b>                         |      | <u>6,372,921</u>   |
| <b>Capital Expenditure Payments:</b>     | 7(c) |                    |
| Infrastructure Development               |      | -                  |
| Rehabilitation Works                     |      | -                  |
| Asset Acquisition                        |      | -                  |
| Other Costs(Borehole)                    |      | -                  |
| <b>Sub-Total</b>                         |      | <u>-</u>           |
| <b>TOTAL PAYMENTS</b>                    |      | <u>6,372,921</u>   |
| <b>Increase/(decrease) in cash</b>       |      | <u>- 2,032,581</u> |
| Foreign Exchange Losses                  |      | -                  |
| Cash at beginning of the year            |      | <u>2,106,439</u>   |
| Cash at the end of the year              |      | <u>73,858</u>      |

Name: BLACKSON TEMBO

Signature: [Signature]  
Position: Council Chairman

✓ Name: NGWESAJI MBAMBAI

Signature: [Signature]  
Position: Director Finance

Name: .....

Signature: .....  
Position: Council Secretary



Statement of Cash Receipts and Payments for the Sector Grant (Devolved Function) for  
Period Ended 30<sup>th</sup> June 2025

|                                    | 2025<br>Kwacha    |
|------------------------------------|-------------------|
| <b>RECEIPTS</b>                    |                   |
| Funding                            | 12,137,243        |
| Other receipts                     | -                 |
| <b>TOTAL RECEIPTS</b>              | <b>12,137,243</b> |
| <b>PAYMENTS</b>                    |                   |
| Goods and services                 | 9,051,040         |
| Non-financial Asset Acquisition    | 130,982           |
| Infrastructure Development         | 213,617           |
| Rehabilitation Works               | -                 |
| <b>TOTAL PAYMENTS</b>              | <b>9,395,638</b>  |
| <b>Increase/(decrease) in Cash</b> | <b>2,741,605</b>  |
| Cash at beginning of the year      | 8,406,544         |
| <b>Cash at the end of the year</b> | <b>11,148,149</b> |

Name: BLACKSON TEMBO

Signature: [Signature]

Position: Council Chairman

Name: .....

Signature: .....

Position: Council Secretary

✓ Name: NGWENJA MB

Signature: [Signature]

Position: Director Finance



Statement of Cash Receipts and Payments for ZDSP Capital Grant for Period Ended 30<sup>th</sup>  
June 2025

|                                    | 2025<br>Kwacha |
|------------------------------------|----------------|
| <b>RECEIPTS</b>                    |                |
| Funding                            | -              |
| Other receipts                     | -              |
| <b>TOTAL RECEIPTS</b>              | -              |
| <b>PAYMENTS</b>                    |                |
| Goods and services                 | -              |
| Non-financial Asset Acquisition    | -              |
| Infrastructure Development         | -              |
| Rehabilitation Works               | -              |
| <b>TOTAL PAYMENTS</b>              | -              |
| <b>Increase/(decrease) in Cash</b> | -              |
| Cash at beginning of the year      | 2,694,737      |
| Cash at the end of the year        | 2,694,737      |

Name: BLANKSON TEMISO  
Signature: [Signature]  
Position: Council Chairman

Name: .....  
Signature: .....  
Position: Council Secretary

Name: NGWENA MBAMBA  
Signature: [Signature]  
Position: Director Finance



## Summary of Significant Accounting Policies

### 1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Part 1 of Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

#### 1.1 Comparatives

In line with the Local Authorities Accounting Policies (LAAPs) and the Treasury and Financial Management Circular No Xxxx of 2019 issued prior but applicable to finalisation of these financial statements, the starting point for preparation of financial statements using Cash Basis IPSAS *Financial Reporting under the Cash Basis of Accounting* is 2018. The IPSAS allows that in the year of first application, comparative financial statements for the previous year may not be included. In this regard, these financial statements do not include such.

#### 1.2 Reporting Entity

The Financial Statements are prepared for Lusangazi Town Council. The financial statements encompass the Council as specified under Cap 281 of the Laws of Zambia, Public Finance Management Act No.1 of 2018 and the Constitution of Zambia (Amendment), Act No. 2 of 2016. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

#### 1.3 Authorisation Date

The financial statements were authorized for issue on 10<sup>th</sup> September 2023 by the ordinary Council.

#### 1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

##### a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act, 2016 Lusangazi Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act, 1991 Cap 281 section 69(1) prescribes a system of local taxes by empowering Local Authorities to make by-laws imposing all or any of the following levies:

- a levy on leviable persons owning or occupying property or premises situated within the area of the council.
- A levy on leviable persons carrying on a business, trade or occupation within the area of the council.

| <b>Fees and Charges Type</b>          | <b>2025</b>    |
|---------------------------------------|----------------|
|                                       | <b>KWACHA</b>  |
| Consent Fees                          | 1,250          |
| Survey Fees                           | 400            |
| Building Inspection fees              | -              |
| Plan Scrutiny Fees                    | -              |
| Rentals/Lease of Council's properties | 8,633          |
| Application Form Fees                 | -              |
| Sketch Fees                           | -              |
| Search Fees                           | -              |
| Market Fees                           | -              |
| Parking Fees                          | -              |
| Bus Station Fees                      | -              |
| Affidavit Fees                        | -              |
| Grave Reservation                     | -              |
| Refuse Disposal Fees                  | -              |
| Notice of Marriage                    | -              |
| Abattoir/Meat Inspection Fees         | -              |
| Registration of Clubs and societies   | 4,400          |
| Farm Produce Levy                     | -              |
| Communication Mast Levy               | 40,000         |
| Land Record                           | -              |
| Billboard and Banner                  | -              |
| Lease of Council Transport            | -              |
| Illegal Vending Fees                  | -              |
| Penalties                             | -              |
| Site Rent                             | -              |
| Change of ownership of plot           | -              |
| Other Fees and Charges/other income   | 131,713        |
| <b>TOTAL</b>                          | <b>186,396</b> |

**b. Land Development Charges**

The Council collected the following land development related charges

| <b>Charges Type</b>                 | <b>2025</b>    |
|-------------------------------------|----------------|
|                                     | <b>KWACHA</b>  |
| Service charges - residential plots | -              |
| Service charges - Industrial plots  | 136,800        |
| Premium plots - Residential         | 225,200        |
| Premium plots - Commercial          | -              |
| Lease charges                       | -              |
| Other                               | 7,250          |
| <b>TOTAL</b>                        | <b>369,250</b> |

- A levy on the purchase or sale of a commodity within the area of the District. This includes levies on sale of livestock, grain and poles.

#### **b. Fees or Charges**

Section 70 (1) of the Local Government Act, 1991 as amended by Act 19 of 1992 empowers Local Authorities to impose fees or charges payable to the Council:

- For any licence or permit issued under any by-law or regulation made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits.
- For any service or facility provided or goods or documents supplied by the Council in pursuance of or in connection with the discharge of any function of the Council. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

### **1.5 Expenditure**

Expenditure is recognised when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

### **1.6 Reporting on Gross Basis**

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

### **1.7 Cash at the Beginning and End of the Year**

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

### **1.8 Local Government Equalization Fund**

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities.

Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

#### **1.9 Constituency Development Fund**

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is guided by Guidelines on the Management and Utilisation of Constituency Development Fund of 2016. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

#### **1.10 Other Grants**

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

#### **1.11 Sector Grants**

These includes grants from Devolved functions of the Central Government to the Sub National Level among them; Primary care services (Ministry of Health), Pontoons, Ferries, Jetties and Piers, Harbours, Community sport, Vehicle Licensing (Ministry of Transport & Logistics), Cultural matters (Ministry of Tourism) District Archives (Ministry of Home Affairs), Veterinary Services (Ministry of Fisheries and Livestock)

#### **1.12 Presentation Currency**

The presentation currency is Zambian Kwacha.

#### **1.13 Foreign Currencies**

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

The Average rate and year end rates used were K22.91 to the dollar and K23.92 to the dollar respectively.

## **2 Borrowings**

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

### 3 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

## Notes to the Financial Statements

### 2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

| Local Tax Type                | 2025         |
|-------------------------------|--------------|
|                               | KWACHA       |
| Residential Rates             | -            |
| Industrial / Commercial Rates | -            |
| Mining Rates                  | -            |
| Personal Levy                 | 5,345        |
|                               | -            |
| <b>TOTAL</b>                  | <b>5,345</b> |

### 3. Fees and Charges

The local authority generated cash receipts in form of fees and charges arising from offering various services as follows.

|                          |                |
|--------------------------|----------------|
|                          | 2025           |
|                          | KWACHA         |
| Fees and charges         | 186,396        |
| Land Development Charges | 369,250        |
| <b>Total</b>             | <b>555,646</b> |

#### a. Fees and charges

The Council generated the following fees:

#### 4. Licenses

A total of K624,124.00 cash receipts was raised from issuance of various licenses.

| Licence Type                   | 2025          |
|--------------------------------|---------------|
|                                | KWACHA        |
| Manufacturers licence          | -             |
| Retail licence                 | -             |
| Wholesale licence              | -             |
| Occupancy licence              | -             |
| Commercial travellers licence  | -             |
| Hawkers licence                | -             |
| Peddlers licence               | -             |
| Stall licence                  | -             |
| Liquor licence                 | 1,660         |
| Firearm and ammunition licence | -             |
| Petroleum licence              | 25,200        |
| Restaurant licence             | -             |
| Dog licence                    | -             |
| Other licences                 | -             |
| <b>TOTAL</b>                   | <b>26,860</b> |

#### 5. Levies

The Council generated cash receipts by charging levies as follows:

| Type of Levy         | 2025          |
|----------------------|---------------|
|                      | KWACHA        |
| Livestock Levy       | 5,299         |
| Bird Levy            | -             |
| Fish Levy            | -             |
| Pole Levy            | -             |
| Charcoal Levy        | 2,067         |
| Sand Levy            | -             |
| Miscellaneous levies | 89,096        |
| <b>TOTAL</b>         | <b>96,462</b> |

**6. Permits**

The Council generated cash receipts from issuing various permits as follows:

| Type of Permit                      | 2025          |
|-------------------------------------|---------------|
|                                     | Kwacha        |
| Health Permit                       | 4,565         |
| Herbalist permit                    | -             |
| Fire Certificates                   | 5,500         |
| Extension of business hours permits | -             |
| Transportation of Opaque            | 6,490         |
| Other Permits                       | 32,595        |
| <b>TOTAL</b>                        | <b>49,150</b> |

**7. Local Government Equalisation Fund**

**a. Funding**

|              |                  |
|--------------|------------------|
|              | 2025             |
|              | KWACHA           |
| 1st Funding  | 883,180          |
| 2nd Funding  | 885,298          |
| 3rd Funding  | 824,217          |
| 4th Funding  | 873,822          |
| 5th Funding  | 873,822          |
| 6th Funding  |                  |
| <b>TOTAL</b> | <b>4,340,340</b> |

**b. Operational Expenditure**

The Council applied amounts totaling K 4,340,340.03 of LGEF receipts towards meeting operational expenses representing 40.55 % of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

**c. Capital Expenditure**

The Council did not apply any amounts of LGEF receipts towards meeting capital expenditure representing 0% of the total LGEF funding for the reporting period. This expenditure was not

included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments

8. **Constituency Development Fund**

The various elements constituting Statement of Cash Receipts and Payments for CDF are analysed as follows:

(a) **CDF Funding**

|                      | 2025              |
|----------------------|-------------------|
| Constituency         | KWACHA            |
| M sanzala            | 10,205,128        |
| Other receipts       | 171,406           |
| <b>Total Funding</b> | <b>10,376,534</b> |

(b) **Other CDF Sources of Funding**

|                      | 2025          |
|----------------------|---------------|
| Constituency         | KWACHA        |
| M sanzala            |               |
| Other receipts       | 26,894        |
| <b>Total Funding</b> | <b>26,894</b> |

Other CDF sources of funding consisted of interest earned on the amounts held in CDF bank accounts and Donations

(c) **Administration**

| Constituency                         | 2025<br>KWACHA   |
|--------------------------------------|------------------|
| M sanzala                            | 1,464,869        |
| <b>Total Administration payments</b> | <b>1,464,869</b> |

Administration expenses includes. monitoring projects,

(d) **Community Projects**

|                      |                  |
|----------------------|------------------|
|                      | 2025             |
| <b>Constituency</b>  | <b>KWACHA</b>    |
| Msanjala             |                  |
| Community Projects   | 1,496,524        |
| <b>Total Funding</b> | <b>1,496,524</b> |

- (e) Community project include Construction, Renovation Rehabilitation, works included of mothers' shelters at various clinics and classroom blocks and emergency response to disaster

(f) **Youth, Women & Community Empowerment**

|                                                             |                  |
|-------------------------------------------------------------|------------------|
|                                                             | 2025             |
| <b>Constituency</b>                                         | <b>KWACHA</b>    |
| Msanjala                                                    | 25,000.00        |
| <b>Total Youth, Women &amp; Community empowerment costs</b> | <b>25,000.00</b> |

The Youth, Women and Community Empowerment includes grants and loans

(g) **Boarding School & Skills Development**

|                          |                  |
|--------------------------|------------------|
|                          | 2025             |
| <b>Constituency</b>      | <b>KWACHA</b>    |
| Secondary                | 126,350          |
| Skills Development       | 3,661,377        |
| <b>Total Other Costs</b> | <b>3,787,727</b> |

The costs include boarding school fees and skills development costs.

9. **Other grants**

During the year, the Council received the following grants:

| Revenue Source                   | Note | 2025          |
|----------------------------------|------|---------------|
|                                  |      | <b>KWACHA</b> |
| Grants in Lieu of Rates          | a    | -             |
| Grants from Cooperating Partners | b    | -             |
| Other                            | c    | -             |
| <b>TOTAL</b>                     |      | <b>-</b>      |

10. **Borrowings**

During the year the Council did not receive any cash as loans from ZANACO.

The Loan was used as tabulated below:

| Details                                                             | 2023<br>KWACHA |
|---------------------------------------------------------------------|----------------|
| Payment of retirees                                                 | -              |
| Investment in commercial shop block for rent                        | -              |
| Investment in truck parking bay                                     | -              |
| Investment in Abattoirs                                             | -              |
| Investment in Taverns renovations<br>and turned into shops for rent | -              |
| <b>TOTAL</b>                                                        | <u>-</u>       |

As at 30<sup>th</sup> June, 2025 the Council had made loan repayments amounting to K... leaving a balance of K...

The loan was acquired under the following terms:

- Loan tenure is 5 years from 2018
- Simple interest is charged at rate of 20% per annum
- The loan security was that the Council was to move all of its project and grant receiving bank accounts to ZANACO as a lending bank.

11. **Council Commercial Venture**

This consists of receipts and payments relating to operations of Mazabuka Motel owned by the Council

|                                   | 2023<br>KWACHA |
|-----------------------------------|----------------|
| <b>Receipts</b>                   |                |
| Restaurant Sales Receipts         | -              |
| Lodging receipts                  | -              |
| Food and beverages sales receipts | -              |
| Others                            | -              |
| <b>TOTAL</b>                      | -              |
| <b>Payments</b>                   |                |
| Restaurant purchaes               | -              |
| Beer and beverages                | -              |
| wages                             | -              |
| Others                            | -              |
| <b>TOTAL</b>                      | -              |
| <b>Surplus/de ficit</b>           | -              |

**12. Sector Grants (Devolved Functions)**

The Council received Grants totaling K12, 137,243.00 in its bank accounts from the Treasury for the Devolved Functions of the Central Government broken down as follows

**a) Sector Grants (Devolved Functions)**

| Expenditure Type                        | 2025<br>KWACHA    |
|-----------------------------------------|-------------------|
| Primary Care Services                   | -                 |
| Pontoons,Feerries ,Jetties and Piers    | -                 |
| Community Sports                        | -                 |
| Cultural Matters                        | -                 |
| District Archives                       | 9,621             |
| Veterinary Services                     | -                 |
| Vehicle Licensing                       | 1,000,000         |
| Harbours                                | -                 |
| District livestock                      | 243,080           |
| District Fisheries                      | 812,458           |
| District Agricultural Services          | 284,656           |
| District Community Development services | 9,787,429         |
| District Social welfare services        | -                 |
| <b>TOTAL</b>                            | <b>12,137,243</b> |

**13. Other Receipts** (This is included for balancing the statements only. It is not mandatory)

The Council received amounts totaling K 32,160.00 in its various bank accounts that could not be traced to the sources. Therefore, the amounts in question could not be recognized under any particular class of receipts in the financial statements except as 'other receipts'

**14. Personal Emoluments**

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Town Council. The Council had categories of staff that were paid as follows

| <b>Grade</b>        | <b>2025</b>      |
|---------------------|------------------|
|                     | <b>KWACHA</b>    |
| Salaries Division 1 | 1,535,946        |
| Salaries Division 2 | 1,163,236        |
| Salaries Division 3 | 681,479          |
| Wages- Division 4   | 711,805          |
| Other wages         | 486,052          |
| <b>TOTAL</b>        | <b>4,578,518</b> |

**15. Use of Goods and Services**

General expenditure consists of expenditure incurred on administrative activities

| <b>Expenditure Type</b>                                   | <b>2025</b>       |
|-----------------------------------------------------------|-------------------|
|                                                           | <b>KWACHA</b>     |
| Office Running Costs                                      | 194,870           |
| Building, Repair and Maintenance Costs                    | 26,878            |
| Plant, Machinery and Vehicle Running and Maintenance Cost | 544,198           |
| Other Administrative operating costs                      | 499,698           |
| Requisites                                                | 25,654            |
| Services                                                  | 5,117,559         |
| Travel expenses                                           | 723,629           |
| Training                                                  | 13,025            |
| Medical costs                                             | -                 |
| Other costs                                               | 2,984,580         |
| <b>TOTAL</b>                                              | <b>10,130,091</b> |

**16. Financial Charges**

The Council paid amounts totalling K... in financial charges.

|                           | 2025<br>KWACHA |
|---------------------------|----------------|
| Interest on Internal Debt | -              |
| Interest on External Debt | -              |
| Other Interest            | -              |
| <b>TOTAL</b>              | <u>-</u>       |

**17. Social Benefits**

Social benefits include payments towards death on duty, burial, and other benefits. During the year, the Council made social benefit payments amounting to K...

**18. Non-financial Asset Acquisition**

Acquisition of assets involved the following payments:

|                                                  | 2025<br>KWACHA   |
|--------------------------------------------------|------------------|
| Purchase of Tractor                              | -                |
| Purchase of Tires for Grader                     | -                |
| Programmable Logic Controller for Traffic Lights | -                |
| Servicing of Tata Tipper Truck                   | 2,449,000        |
| Servicing of Magoye Grader                       | -                |
| Rehabilitation of Fire Brigade Building          | -                |
| Procurement of desks                             | 1,964,033        |
| <b>TOTAL</b>                                     | <u>4,413,033</u> |

**19. Financial Asset**

Acquisition of financial assets involved the following:

|                                   | 2025<br>KWACHA |
|-----------------------------------|----------------|
| Purchase of Long term investments | -              |
| Collections from debtors          | -              |
| VAT refunds                       | -              |
| Other financial asset acquisition | -              |
| <b>TOTAL</b>                      | <u>-</u>       |

**20. Loan Repayments**

The following amounts were paid towards settlements of principal amounts of loans held by the Council:

|                   | 2025<br>KWACHA |
|-------------------|----------------|
| Repayment of Loan | -              |
|                   | -              |
|                   | -              |
| <b>TOTAL</b>      | <u>-</u>       |

21. **Other Payments**  
These relate to sundry items such as ...

|                          | 2025<br>KWACHA   |
|--------------------------|------------------|
| other payments           | 3,737,300        |
| <b>Total Other Costs</b> | <u>3,737,300</u> |

22. **Foreign Exchange Losses**  
These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances

23. **Cash Balances**  
The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

|                  | 2025<br>KWACHA    |
|------------------|-------------------|
| Cash on hand     | -                 |
| Demand Deposits  | 14,690,527        |
| Cash equivalents | -                 |
| <b>TOTAL</b>     | <u>14,690,527</u> |

**a. Cash on hand**

The Council's cash on demand was made of cash collections and petty cash:

|                              | 2025<br>KWACHA |
|------------------------------|----------------|
| Cash collections undeposited | -              |
| Petty Cash                   | -              |
| <b>TOTAL</b>                 | <u>-</u>       |

**b. Demand Deposits – Bank Balances**

The Council had the following reconciled bank account balances as at the 30<sup>th</sup> June 2025:

| Account Name                   | Account No            | 2025<br>Kwacha    |
|--------------------------------|-----------------------|-------------------|
| District Revenue A/c           | Zanaco -5664520300496 | 5,874             |
| Salaries A/c                   | Zanaco-5664520300294  | 3,872             |
| Capital Projects               | Zanaco -5664520300295 | 2,694,737         |
| District Fund A/c              | Zanaco-5664520300193  | 1,763             |
| Msanzala Constituency A/C      | Zanaco-0567194300118  | 769,415           |
| Rural Water and Sanitation A/C | Zanaco-5664520300601  | 59,725            |
| Service Charge A/c             | Zanaco-5664203000702  | 17,897            |
| Grants Sector account          | Zanaco-5664520300904  | 11,137,243        |
| <b>TOTAL</b>                   |                       | <b>14,690,527</b> |

**c. Cash Equivalents**

The Council held treasury bills valued at K... at the end of the year.

## 24. Budget Adjustments and Variances

### a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on... Subsequent approved adjustments to the budgets consisted of approved supplementary provisions and approved budget reallocations as follows:

|                                      |          |          |          |
|--------------------------------------|----------|----------|----------|
| Levies                               |          |          |          |
| Permits                              | -        | -        | -        |
| Local Government Equalisation Fund   |          |          |          |
| Constituency Development Fund        |          |          |          |
| Other Grants                         |          |          |          |
| Borrowings                           |          |          |          |
| Commercial Venture                   |          |          |          |
| Sector Grants ( Devolved Functions ) |          |          |          |
| Other Receipts                       | -        | -        | -        |
| <b>TOTAL RECEIPTS</b>                | <u>-</u> | <u>-</u> | <u>-</u> |
| <b>PAYMENTS</b>                      |          |          |          |
| Personal Emoluments                  |          |          |          |
| Use of goods and services            |          |          |          |
| Financial Charges                    |          |          |          |
| Social benefits                      |          |          |          |
| Non-financial assets acquisition     |          |          |          |
| Financial Assets                     |          |          |          |
| Loan Repayments                      | -        | -        | -        |
| Other payments                       | -        | -        | -        |
| <b>TOTAL EXPENDITURE</b>             | <u>-</u> | <u>-</u> | <u>-</u> |

### b. Budget Variances

#### • Own Source Revenues

The Council planned to generate K... from Own Source Revenue but collected K... resulting in a variance of ...%. Improvements in Own Source revenues arose mainly from increased revenue sources and collection strategies.

- **Personnel Emoluments**

The Council planned to spend K... on personal emoluments but spent K... resulting in a variance of ...%. Variances were attributable to increases in salaries and minimum wage requirements

## Appendices

This section is optional but encouraged to be done in order to track the changes.

The following supplementary information does not form part of the Annual Financial Statements and is unaudited:

**APPENDIX A – List of Payables**

**APPENDIX B – List of Receivables**

**APPENDIX C – List of Assets Acquired in the Year**

statement of Cash Receipts and Payments for the Constituency Development Fund (CDF)  
for Period Ended 30<sup>th</sup> June 2025

|                                                         | 2025<br>Kwacha     |
|---------------------------------------------------------|--------------------|
| <b>RECEIPTS</b>                                         |                    |
| Funding                                                 | 10,205,128         |
| Other sources                                           | 171,406            |
| Other receipts                                          | 26,894             |
| <b>TOTAL RECEIPTS</b>                                   | <b>10,403,428</b>  |
| <b>PAYMENTS</b>                                         |                    |
| Infrastructure Development                              | 1,496,524          |
| Rehabilitation Works & Upgrades                         | 1,674,945          |
| Asset Acquisitions                                      | 4,413,033          |
| Rural Electrification                                   | -                  |
| Social Benefits                                         | 25,000             |
| Loans                                                   | 1,534,260          |
| Secondary Boarding Schools and Skills Development Burs. | 3,787,727          |
| Administrative Costs                                    | 1,464,869          |
| Disaster Contingency                                    | -                  |
| <b>TOTAL PAYMENTS</b>                                   | <b>14,396,358</b>  |
| <b>Increase/(decrease) in Cash</b>                      | <b>- 3,992,930</b> |
| Cash at beginning of the year                           | 4,013,979          |
| <b>Cash at the end of the year</b>                      | <b>21,049</b>      |

Note 8 explains the composition and other details relating to the various elements included in this Statement

Name: BLACKSON TEMBO

Signature: [Signature]

Position: Council Chairman

Name: .....

Signature: .....

Position: Council Secretary

✓ Name: NGWENJA ABAMBAH

Signature: [Signature]

Position: Director Finance



Statement of Cash Receipts and Payments for the Constituency Development Fund (CDF)  
for Period Ended 30<sup>th</sup> June 2025

|                                                         | 2025<br>Kwacha     |
|---------------------------------------------------------|--------------------|
| <b>RECEIPTS</b>                                         |                    |
| Funding                                                 | 10,205,128         |
| Other sources                                           | 171,406            |
| Other receipts                                          | 26,894             |
| <b>TOTAL RECEIPTS</b>                                   | <b>10,403,428</b>  |
| <b>PAYMENTS</b>                                         |                    |
| Infrastructure Development                              | 1,496,524          |
| Rehabilitation Works & Upgrades                         | 1,674,945          |
| Asset Acquisitions                                      | 4,413,033          |
| Rural Electrification                                   | -                  |
| Social Benefits                                         | 25,000             |
| Loans                                                   | 1,534,260          |
| Secondary Boarding Schools and Skills Development Burs. | 3,787,727          |
| Administrative Costs                                    | 1,464,869          |
| Disaster Contingency                                    | -                  |
| <b>TOTAL PAYMENTS</b>                                   | <b>14,396,358</b>  |
| <b>Increase/(decrease) in Cash</b>                      | <b>- 3,992,930</b> |
| Cash at beginning of the year                           | 4,013,979          |
| <b>Cash at the end of the year</b>                      | <b>21,049</b>      |

Note 8 explains the composition and other details relating to the various elements included in this Statement

Name: BLACKSON TEMBO

Signature: [Signature]

Position: Council Chairman

Name: .....

Signature: .....

Position: Council Secretary

✓ Name: NGWENJA MAMBANI

Signature: [Signature]

Position: Director Finance



statement of Comparison of Budget and Actual Amounts for the Period Ended 30<sup>th</sup> June 2025

|                                     | Original<br>Budget<br>Kwacha | Adjustments<br>Kwacha | Final Budget<br>Kwacha | Actual<br>Amounts<br>Kwacha | %<br>Performance | Variance<br>Kwacha   | % Variance  |
|-------------------------------------|------------------------------|-----------------------|------------------------|-----------------------------|------------------|----------------------|-------------|
| <b>RECEIPTS</b>                     |                              |                       |                        |                             |                  |                      |             |
| Local taxes                         | 47,454                       | -                     | 47,454                 | 5,345                       | 11%              | (42,109)             | -89%        |
| Fees and Charges                    | 983,425                      | -                     | 983,425                | 555,646                     | 57%              | (427,779)            | -43%        |
| Licences                            | 59,850                       | -                     | 59,850                 | 26,860                      | 45%              | (32,990)             | -55%        |
| Levies                              | 128,565                      | -                     | 128,565                | 96,462                      | 75%              | (32,103)             | -25%        |
| Permits                             | 87,600                       | -                     | 87,600                 | 49,150                      | 56%              | (38,450)             | -44%        |
| Local Government Equalisation Fund  | 10,701,760                   | -                     | 10,701,760             | 4,340,340                   | 41%              | (6,361,420)          | -59%        |
| Constituency Development Fund       | 36,058,151                   | -                     | 36,058,151             | 10,205,128                  | 28%              | (25,853,023)         | -72%        |
| Other Grants                        | 400,000                      | -                     | 400,000                | -                           | 0%               | (400,000)            | -100%       |
| Borrowings                          | -                            | -                     | -                      | -                           | #DIV/0!          | -                    | #DIV/0!     |
| Commercial Venture                  | -                            | -                     | -                      | -                           | #DIV/0!          | -                    | #DIV/0!     |
| Sector Grants ( Devolved Functions) | 28,848,508                   | -                     | 28,848,508             | 12,137,243                  | 42%              | (16,711,265)         | -58%        |
| Other Receipts                      | 1,500,000                    | -                     | 1,500,000              | 32,160                      | 2%               | (1,467,840)          | -98%        |
| <b>TOTAL RECEIPTS</b>               | <b>78,815,313</b>            | <b>-</b>              | <b>78,815,313</b>      | <b>27,448,334</b>           | <b>35%</b>       | <b>(51,366,979)</b>  | <b>-65%</b> |
| <b>PAYMENTS</b>                     |                              |                       |                        |                             |                  |                      |             |
| Personnel Emoluments                | 8,304,689                    | -                     | 8,304,689              | 4,578,518                   | 55%              | 3,726,171            | 45%         |
| Use of goods and services           | 37,281,877                   | -                     | 37,281,877             | 10,130,091                  | 27%              | 27,151,786           | 73%         |
| Financial Charges                   | -                            | -                     | -                      | -                           | #DIV/0!          | -                    | #DIV/0!     |
| Social benefits                     | 2,491,290                    | -                     | 2,491,290              | 25,000                      | 1%               | 2,466,290            | 99%         |
| Non-financial assets acquisition    | 17,513,534                   | -                     | 17,513,534             | 7,584,502                   | 43%              | 9,929,032            | 57%         |
| Financial Assets                    | 3,736,935                    | -                     | 3,736,935              | 1,534,260                   | 41%              | 2,202,675            | 59%         |
| Loan Repayments                     | -                            | -                     | -                      | -                           | #DIV/0!          | -                    | #DIV/0!     |
| Other payments                      | 9,486,988                    | -                     | 9,486,988              | 4,737,300                   | 50%              | 4,749,688            | 50%         |
| <b>TOTAL PAYMENTS</b>               | <b>78,815,313</b>            | <b>-</b>              | <b>78,815,313</b>      | <b>28,589,671</b>           | <b>36%</b>       | <b>50,225,642</b>    | <b>64%</b>  |
| <b>Increase/(Decrease in Cash</b>   | <b>-</b>                     | <b>-</b>              | <b>-</b>               | <b>(1,141,337)</b>          |                  | <b>(101,592,621)</b> |             |

The composition of budget adjustments and explanations of major variances are provided in note 23

Name: BLANKSON TEMBO

Signature: [Signature]

Position: Council Chairman

Name: .....

Signature: .....

Position: Council Secretary

✓ Name: NQWESA KIBAMBA

Signature: [Signature]

Position: Director Finance

